Aga Khan University Examination Board

Notes from E-Marking Centre on SSC-II Principles of Accounting Examination May 2019

Introduction

This document has been produced for the teachers and candidates of the Secondary School Certificate (SSC) Part II Principles of Accounting. It contains comments on candidates' responses to the 2019 SSC-II Examination, indicating the quality of the responses and highlighting their relative strengths and weaknesses.

E-Marking Notes

This includes overall comments on candidates' performance on every question and *some* specific examples of candidates' responses which support the mentioned comments. Please note that the descriptive comments represent an overall perception of the better and weaker responses as gathered from the e-marking session. However, the candidates' responses shared in this document represent some specific example(s) of the mentioned comments.

Teachers and candidates should be aware that examiners may ask questions that address the Candidate Learning Outcomes (SLOs) in a manner that require candidates to respond by integrating knowledge, understanding and application skills they have developed during the course of study. Candidates are advised to read and comprehend each question carefully before writing the response to fulfil the demand of the question.

Candidates need to be aware that the marks allocated to the questions are related to the answer space provided on the examination paper as a guide to the length of the required response. A longer response will not in itself lead to higher marks. Candidates need to be familiar with the command words in the SLOs which contain terms commonly used in examination questions. However, candidates should also be aware that not all questions will start with or contain one of the command words. Words such as 'how', 'why' or 'what' may also be used.

General Comments

It was generally felt that many candidates lacked basic accounting knowledge. Most candidates performed poorly in questions that were related to the theoretical part of the paper. Many candidates were not clear about classification of different accounting heads on the basis of their nature and their presentation in different financial statements. Many responses reflected that accounting for trade receivables needs more attention in terms concepts and workings. However, some candidates produced good responses to these questions. In addition, it seemed that the candidates were not able to comprehend the requirement of the question and produced answers that were not relevant. As a result, they were unable to perform well.

Note: Candidate responses reproduced in this report have not been corrected for grammar, spelling, format or factual information.

Detailed Comments:

Constructed Response Questions (CRQs)

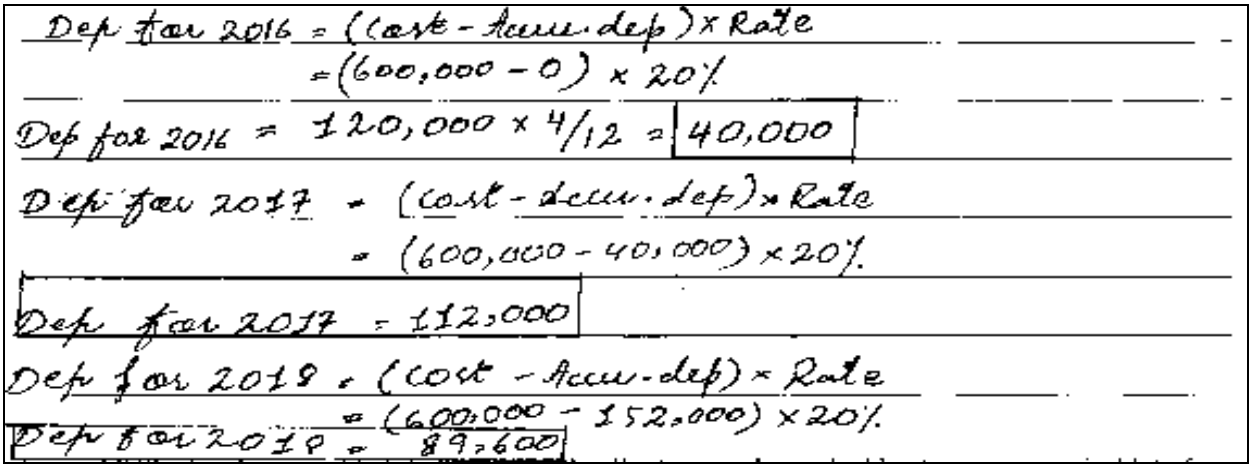
Question 1a:

On September 01, 2016, Samina Traders purchased a machine for Rs 600,000 with a salvage value of Rs 50,000. The business uses diminishing balance method for recording depreciation and the rate of depreciation used is 20% per annum.

Calculate the depreciation for year 2016 to 2018.

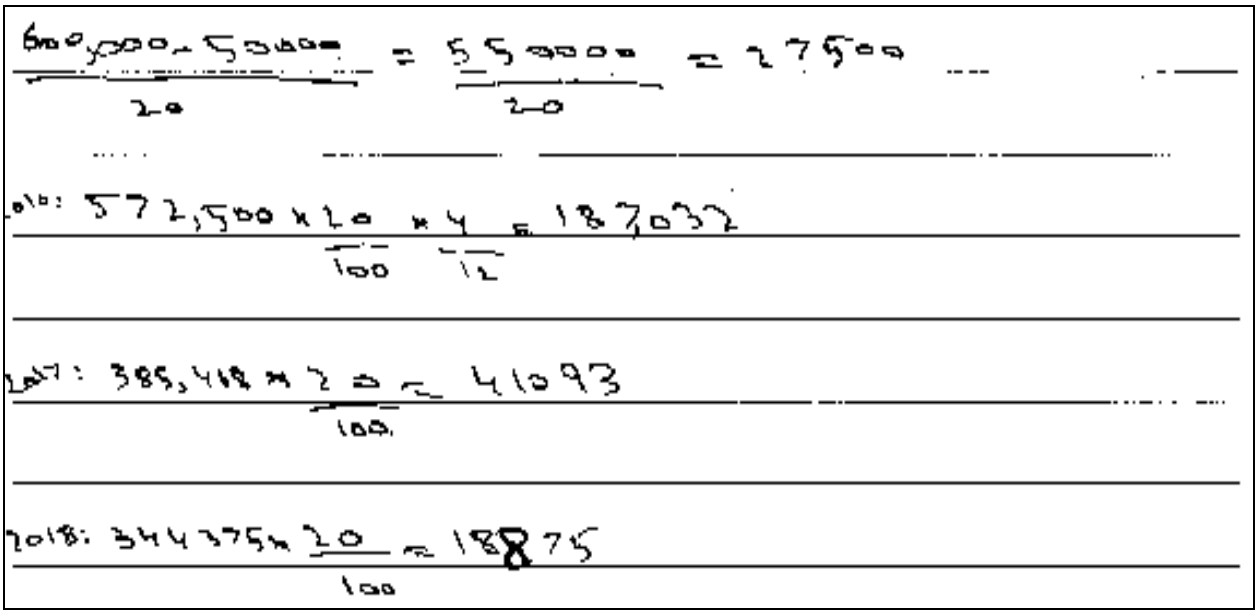
Better responses showed that the candidates knew the formula and working related to diminishing balance method of depreciation. These responses also reflected the correct understanding of the accounting period (i.e. calendar year), at the time of calculating the amount of depreciation, especially for 2016.

Example:



Weaker responses showed that the candidates ignored the usage period (time period) of asset and calculated the depreciation for whole year of 2016, instead of FOUR months. Few responses reflected that candidates were confused in different formulae of depreciation and used the formula of straight line instead of the diminishing balance method.

Example:



Question 1b:

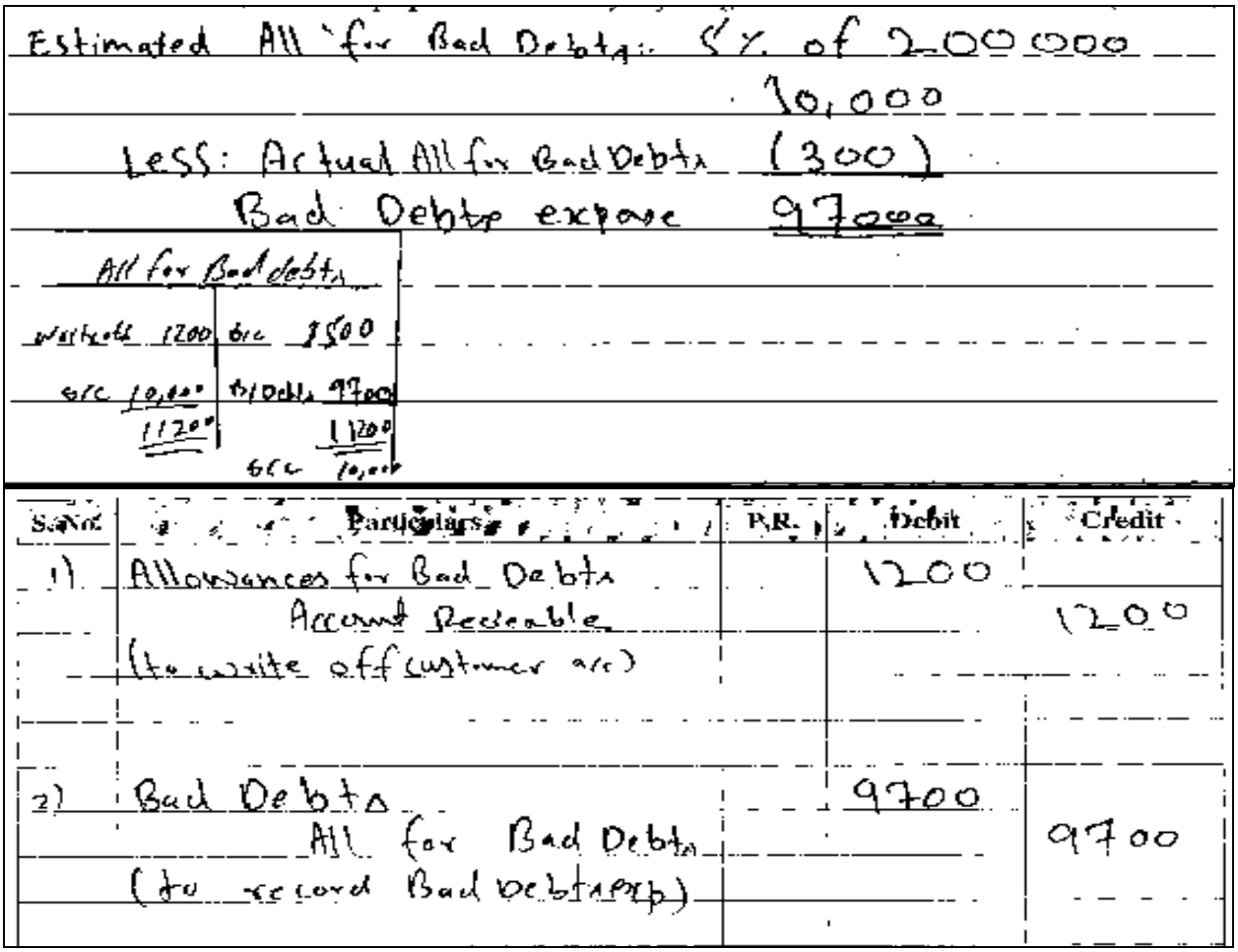
Ali Traders has provided the following details about trade receivables (accounts receivable) of the business.

Account Title	
Allowance (provision) for doubtful (bad) debts at January 01, 2018	Rs 1,500
Doubtful (bad) debt written off during the year	Rs 1,200
Trade receivables (accounts receivable) at December 31, 2018	Rs 200,000
Rate of allowance (provision) to be charged	5%

Calculate the amount of allowance (provision) for doubtful (bad) debts for the year ended December 31, 2018 and prepare the necessary adjusting entries.

Better responses depicted the proper understanding of working related to doubtful debts (bad debts) written off and its provisions. These responses deducted the amount of doubtful (bad) debt written off before calculating the amount of allowance (provision) for doubtful (bad) debts at the end of the year. The correct journal entries of allowance (provision) for doubtful (bad) debts also reflected the same understanding.

Example:



Estimated All for Bad Debts: 5% of 200000 = 10,000

Less: Actual All for Bad Debts (300)

Bad Debts expense 9700

All for Bad debts

Written off	1200	b/c	1500
c/c	10,000	b/f Debit	9700
	11200		11200
		c/c	10,000

Date	Particulars	P.R.	Debit	Credit
1)	Allowances for Bad Debts		1200	
	Account Receivable			1200
	(to write off customer a/c)			
2)	Bad Debts		9700	
	All for Bad Debts			9700
	(to record Bad debts exp)			

Weaker responses showed that the candidates were confused between the amount of doubtful (bad) debt written off and its provision. These responses did not calculate the net amount of trade receivables (accounts receivables) before applying the allowance percentage, which resulted in wrong calculation and entries at yearend. Few responses revealed that the candidates did not read the question and did not prepare the entries for doubtful (bad) debt written off and its provision, but showed its calculation.

Example:

The amount of allowance for doubtful debt for the year ended

⇒ 200,000 × 5%

⇒ 10,000 ⇒ provision for doubtful debt

No.	Particulars		Dr.	Cr.
	Provision for doubtfull debt		8500	
	Cash			8500

Question 2:

Post the necessary adjusting entries in general journal for the following scenarios separately:

Scenario 1: A company's allowance (provision) for doubtful (bad) debts accounts has a credit balance of Rs 25,000. One of the customers owing Rs 1,800 was declared insolvent and amount receivable from him has been written off.

S. No.	Particulars	P.R.	Debit	Credit

Scenario 2: A company's policy for rate of allowance (provision) for doubtful (bad) debts accounts is 5% of net trade receivables (accounts receivable). Due to the rising economic depression, the company decided to increase the rate of doubtful (bad) debts from 5% to 7.5%. The balances of related account head are as follows:

Trade receivables (accounts receivable) ending balance Rs 250,000
Allowance (provision) for doubtful (bad) debts opening balance Rs 12,500

S. No.	Particulars	P.R.	Debit	Credit

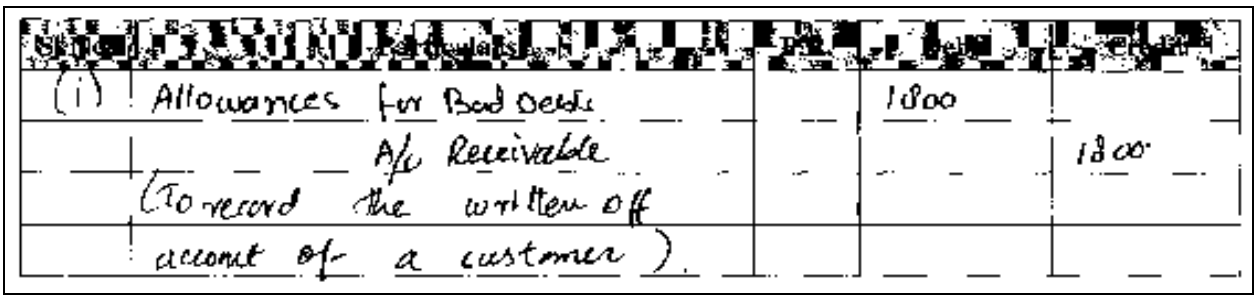
Scenario 3: A company has written off a customer's account by Rs 10,500. However, now it receives cash against the written-off amount from the customer.

S. No.	Particulars	P.R.	Debit	Credit

Better responses exhibited that the candidates had correct understanding of accounting for trade receivables. Scenario 1 was related to bad debt written off, in which candidates debited bad debt or allowance and credited trade receivables. In scenario 2, candidates made entry as bad debts debit and allowance for bad debts credit with the correct amount. In scenario 3, mostly candidates made two entries; one for the creation of trade receivables and other for the amount recovered.

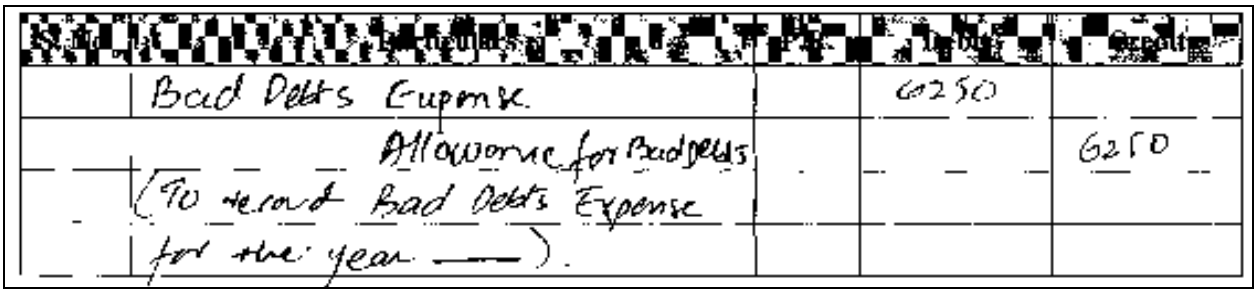
Example:

Scenario 1:



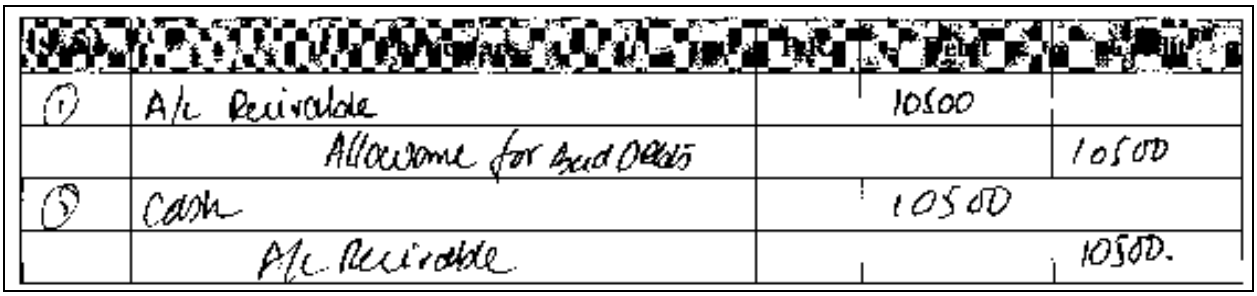
(1)	Allowances for Bad Debts		1800	
	A/c Receivable			1800
	(To record the written off			
	account of a customer).			

Scenario 2:



	Bad Debts Expense		6250	
	Allowance for Bad Debts			6250
	(To record Bad Debts Expense			
	for the year ——).			

Scenario 3:

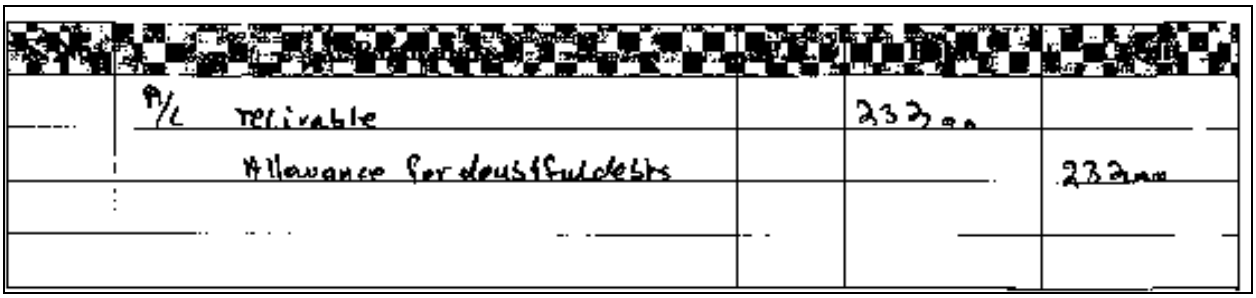


(1)	A/c Receivable	10500	
	Allowance for Bad Debts		10500
(5)	Cash	10500	
	A/c Receivable		10500.

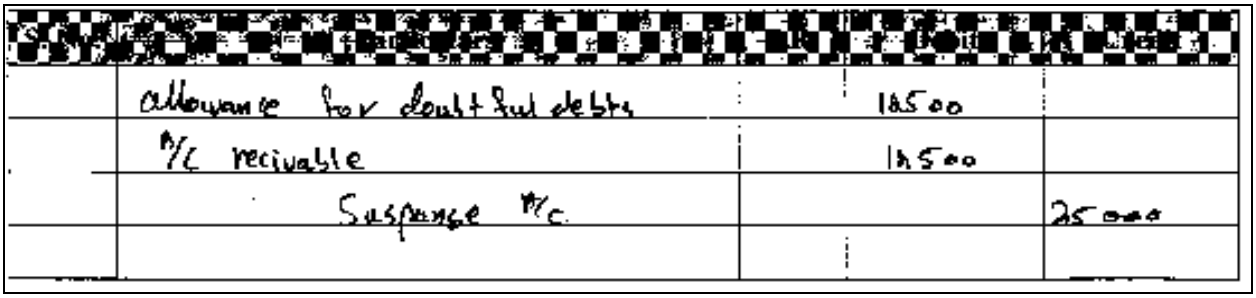
Weaker responses reflected that the candidates lacked the understanding of bad debts written off and bad debts recovered. These responses either made the reverse entries or they treated these as accounting errors and transferred the amounts to suspense account. This resulted in incorrect recording of the general journal entries.

Example:

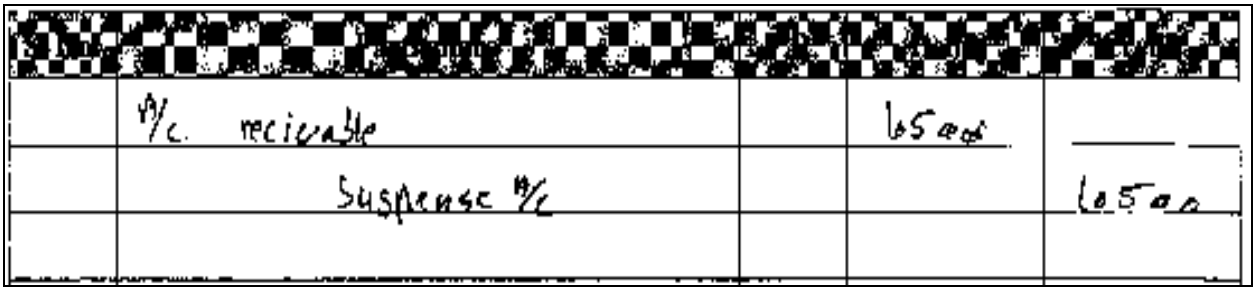
Scenario 1:



Scenario 2:



Scenario 3:



Question 3:

Following details have been extracted from the books of Meenaj Traders for the year ended March 31, 2019.

Account Title	Amount (Rs)
Prepaid salaries	18,000
Rent expense	15,000
Sales revenue	635,000
Cost of sales (cost of goods sold)	387,000
Non-current (fixed) assets	480,000
Allowance (provision) for depreciation on non-current (fixed) assets	180,000

The data that needs to be adjusted at the end of the year is as under

- Unrecorded sales amounted to Rs 15,000
- Prepaid salaries amounted to Rs 3,000
- Rent payable as on March 31, 2019 was Rs 9,000
- Depreciation is to be charged on non-current (fixed) assets at the rate of 20% per annum on diminishing balance method.

a. Prepare the income statement and compute net profit for Meenaj Traders for the year ended March 31, 2019.

b. Show the impact with amount of the given data for adjustment on the given extract of statement of financial position (balance sheet) of Meenaj Traders as on March 31, 2019.

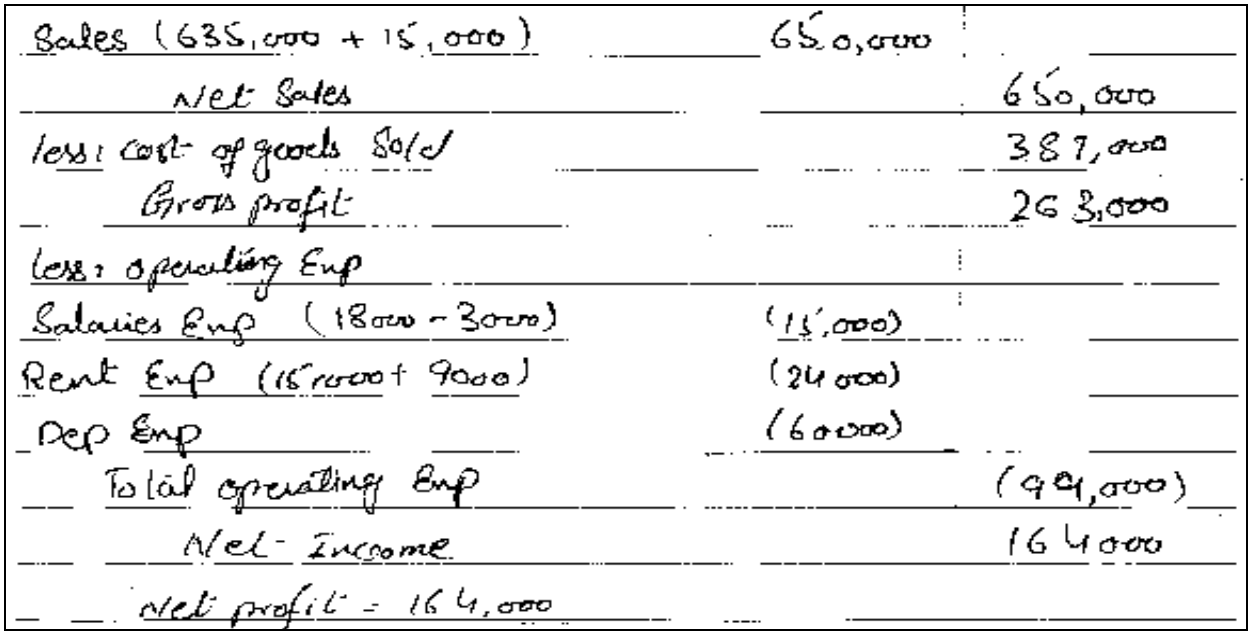
Meenaj Traders
Extract of Statement of Financial Position (Balance Sheet)
As at March 31, 2019

Non-current (fixed) assets		
Current assets		
Equity		
Current liabilities		

Better responses were those where candidates were able to prepare the income statement and were able to draw up the required portion of the statement of financial position (balance sheet) under the given headings. These responses correctly added the amount of unrecorded sales and accrued rent income statement and correctly deducted the amount of prepaid depreciation form operating expenses. These responses also reflected proper understanding of nature and placement of prepaid and payable in the statement of financial position (balance sheet).

Example:

a.



Sales (635,000 + 15,000)	650,000	
Net Sales		650,000
less: cost of goods Sold		387,000
Gross profit		263,000
less: operating Exp		
Salaries Exp (18000 - 3000)	(15,000)	
Rent Exp (15000 + 9000)	(24000)	
Dep Exp	(60000)	
Total operating Exp		(99,000)
Net Income		164000
Net profit = 164,000		

b.

Non-current (fixed) assets		
Non-Current Assets	480,000	
less: Allowance for dep for Non-Current (150000 + 90000)	(240,000)	
Total non-current assets		240,000
Current assets		
Cost	15000	
Prepaid Salaries	3000	
Total current Assets		18,000
Total Assets		258,000
Equity		
Net Income	164,000	
Total Equity		164,000
Current liabilities		
Rent payable	9000	
current liabilities	85000	
Total Liabilities		94 000
Total owner equity		258000

Weaker responses showed that the concept of prepaid and payables was not clear. These response showed opposite treatment of prepaid and payables. These responses also lacked understanding about nature and presentation of the mentioned adjustments, these responses classified these different items to wrong side of the statement of financial position (balance sheet) which reflected inappropriate knowledge of the accounting heads and their classification.

Example:

a.

INCOME STATEMENT		
Sales Revenue (635,000 + 15,000) =(6,50,000)	6,50,000	
Net Sales		6,50,000
less: Cost of good Sold		(387,000)
gross profit		263,000
less: Operating Exp.		
Salaries Exp	(15,000)	
Rent Exp	(6,000)	
Dep Exp	(96,000)	
Total operating Exp		(1,17,000)
Net Income		146,000

b.

Non-current (fixed) assets		
Cash	387,000	
less: non current assets	(96,000)	
Total non current assets		291,000
Current assets		
Equity		
Current liabilities		

Question 4:

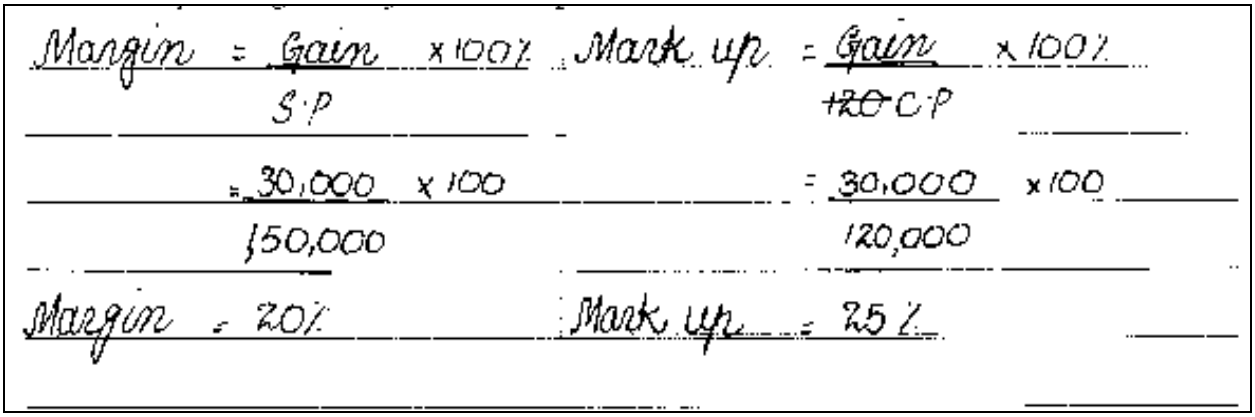
Aarfa, a sole trader, bought merchandise for Rs 120,000 and sold it for Rs 150,000.

Calculate the percentage of margin and mark up for Aarfa.

Better response depicted that candidates had a sound knowledge of mark up and margin. These responses were able to calculate the correct percentage of mark up and margin by using the correct formulae i.e. Mark up Percentage $= \frac{\text{sales price - cost price}}{\text{cost price}} \times 100$ and

Margin Percentage $= \frac{\text{sales price - cost price}}{\text{sales price}} \times 100$ respectively.

Example:



Weaker responses showed that the candidates got confused between the two formulae and calculated margin percentage instead of mark up and vice versa. Other types of responses showed that candidates used reversed formulae for the calculations. Few responses also showed that candidates did not read the question properly and only calculated the amounts of margin and mark up instead of their percentages.

Example:

Margin rate = $\frac{120,000}{150,000}$

= 0.8%

Markup rate = $\frac{150,000}{120,000}$

= 1.25%

Question 5:

The accounting information of Hamad Brothers is given below:

Drawings during the year	Rs 35,000
Capital at December 31, 2018	Rs 500,000
Net income for the year 2018	Rs 125,000
Additional cash investment	Rs 75,000

Calculate the amount of capital as at January 01, 2018.

Better responses correctly calculated the amount of opening capital. These responses reflected that the candidates have an understanding of the steps required to find out the capital balance. Many candidates calculated it through equation of equity i.e. ending capital = capital at start + net profit – drawings + additional investment whereas others took ledger account as a tool for calculating opening capital.

Example:

Capital

Drawings	35,000	Opening bal	335,000
		Additional Investment	75,000
c/d	500,000	Net income	125,000
	535,000		535,000

Opening Capital as at January 01, 2018 = 335,000

Weaker Responses reflected that the candidates itemised the items to be adjusted but the treatment of various items were reversed, i.e. they subtracted the amount of drawings that was to be added and vice versa for investment and ending capital. Same error was reflected in responses in which candidates made ledgers, they debited the amount that was credited and vice versa.

Example:

Capital at January 01 2018	585000
less: Drawing	(35,000)
Add: Additional investment	75000
less: Capital December 31 2018	500,000
Net income	125,000

Question 6:

The senior accountant of Rabia Traders identified the following errors in the records maintained by the junior accountant.

i. Machinery repair parts purchased for Rs 18,000 were recorded as purchases.

ii. Goods purchased from Data Traders of Rs 7,300 had been correctly posted to purchases account but had been wrongly entered into Bata Sons account.

iii. Rent paid of Rs 12,000 was not recorded in the books.

iv. A sales return (return inward) of Rs 2,400 from Lala Enterprises has been debited in the purchase return (return outward) account and Lala Enterprises account has been credited.

v. Credit purchases of Rs 8,700 had been posted in the journals as Rs 7,800.

Identify the types of errors made by the junior accountant.

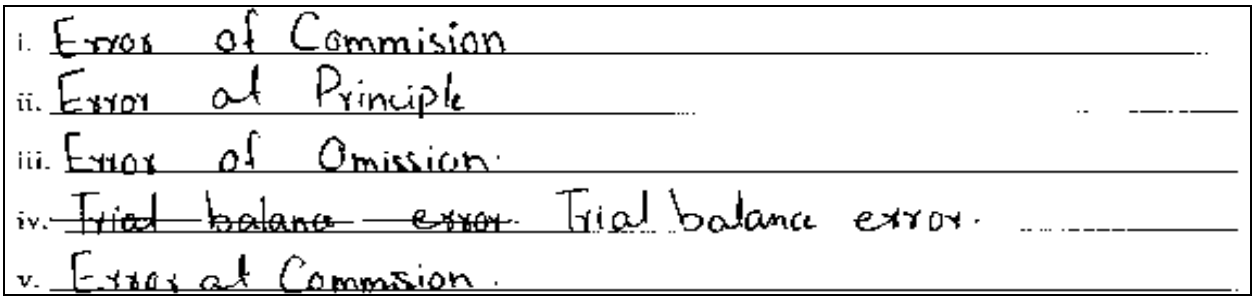
Most candidates performed well in this question. *Better responses* correctly identified the various types of accounting errors. These responses showed that the candidates have a good understanding of the different types of errors affecting trial balance. Few responses also made the entries to correct the given errors although this was not required, but showed their strong grip of the topic.

Example:

i. errors of Principle
ii. errors of Commission
iii. errors of omission
iv. errors of compensating
v. errors of original entry

Weaker responses showed that the candidates were not able to identify different types of accounting errors correctly. Many candidates confused errors affecting the trial balance with errors not affecting the trial balance and hence were not able to score good marks in this question. Few candidates also got confused within the errors that do not affect trial balance and scored less marks and wrote commission error against error of principle and vice versa.

Example:



Question 7:

The income statement of Baba Traders showed the net profit of Rs 283,750 on December 31, 2018. After the preparation of the final accounts, the internal auditor of the business identified the following errors.

i. Furniture bought on account from Ameer for Rs 48,500 has not been entered in the books. On this furniture, the depreciation of Rs 1,500 was also unrecorded.

ii. Goods sold on account of Abid Sons for Rs 17,300 had been correctly posted to sales account but had been entered into Adil Traders account.

iii. A repair of Rs 27,350 for motor vehicle had been posted to motor vehicles account.

iv. A commission paid of Rs 11,480 had been entered in the commission received account.

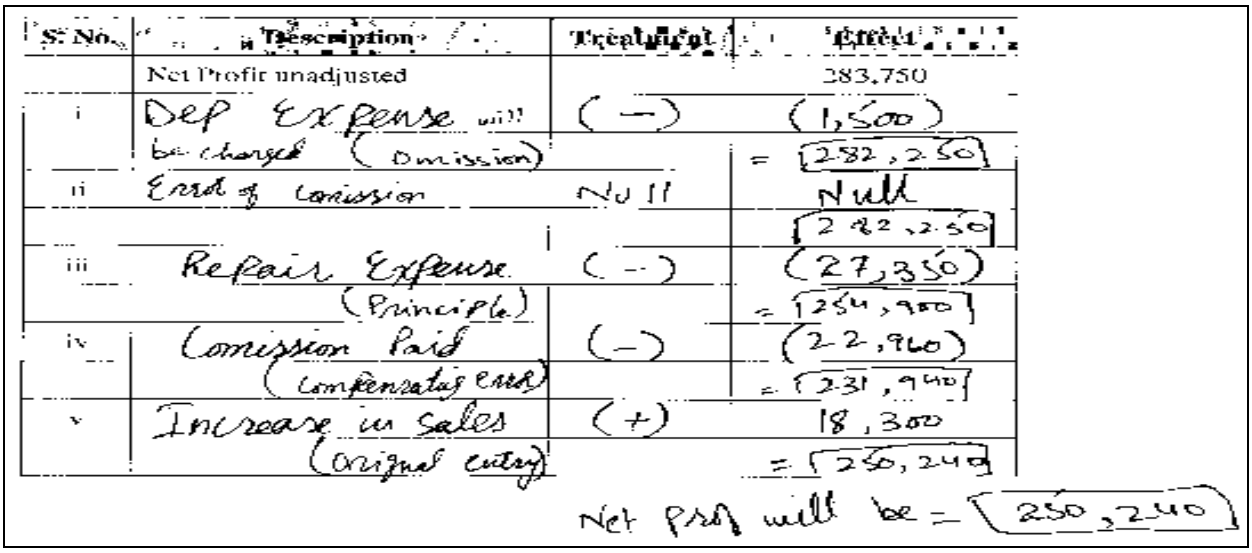
v. Sales day book has been under-casted by Rs 18,300.

Complete the given table by showing the effect of the mentioned errors on the net profit.

S. No.	Description	Treatment	Effect
	Net Profit unadjusted		283,750
i			
ii			
iii			
iv			
v			

Better responses showed that candidates not only had a strong understanding of the accounting errors but also have an idea about how these errors will affect the net profit of the business. These responses calculated the correct amount of adjusted profit by mentioning the impact of various errors on net profit.

Example:

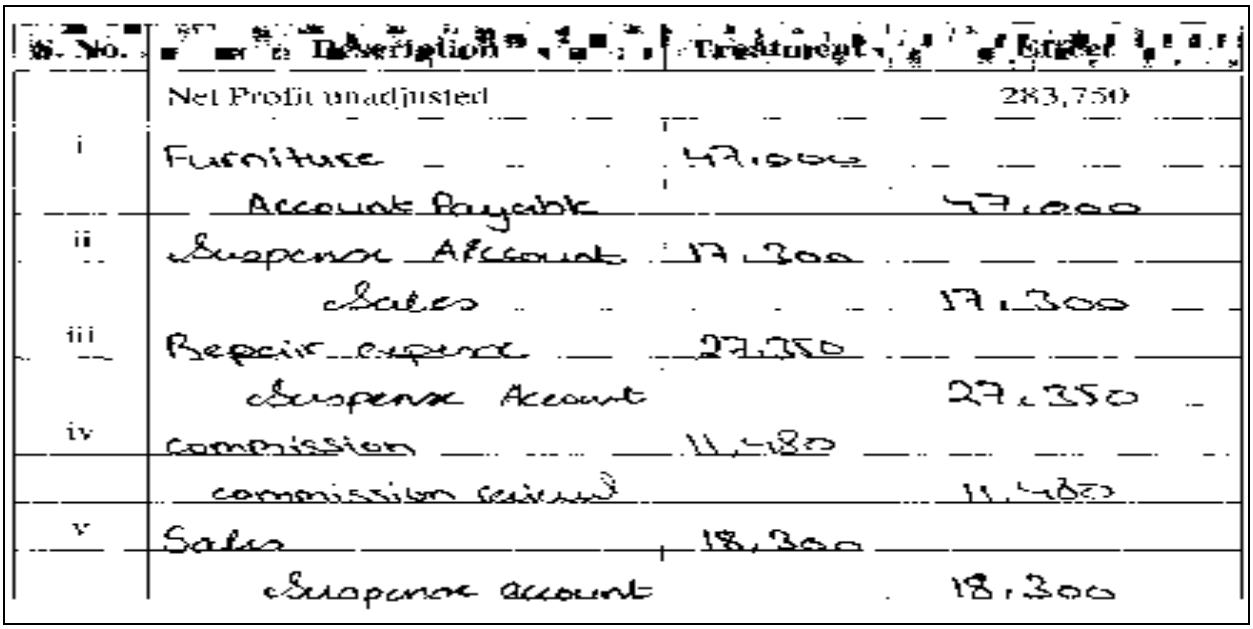


S. No.	Description	Treatment	Effect
	Net Profit unadjusted		283,750
i	Dep Expense will be charged (Omission)	(−)	(1,500) = 282,250
ii	Error of commission	NULL	Null = 282,250
iii	Repair Expense (Principle)	(−)	(27,350) = 254,900
iv	Comission Paid (compensating error)	(−)	(22,960) = 231,940
v	Increase in Sales (original entry)	(+)	18,300 = 250,240

Net Prft will be = 250,240

Weaker responses, generally were of two types. First type of responses showed that candidates were not clear about the accounting errors and their impact on the profitability of the business. These response added repair expense which was supposed to be deducted, or they did not double the amount of commission. Second type of responses reflected that students were not able to understand the question and instead of mentioning the effect on the net profit, they made general journal entries.

Example:



S. No.	Description	Treatment	Effect
	Net Profit unadjusted		283,750
i	Furniture	47,000	
	Account Payable		47,000
ii	Suspense Account	17,300	
	Sales		17,300
iii	Repair expense	27,350	
	Suspense Account		27,350
iv	commission	11,480	
	commission received		11,480
v	Sales	18,300	
	Suspense account		18,300

Question 8:

The following details have been extracted from the books of Hafsa Sports Club:

Account Title	January 01, 2017 (Rs)	December 31, 2017 (Rs)
Non-current (fixed) assets at cost	800,000	940,000
Accumulated depreciation on non-current (fixed) assets	180,000	To be calculated
Current assets	160,000	180,000
Current liabilities	20,000	32,000
Long term liabilities	200,000	400,000

The club charges depreciation on all non-current (fixed) assets at 20% using reducing balance method. There was no disposal of non-current (fixed) assets during the year.

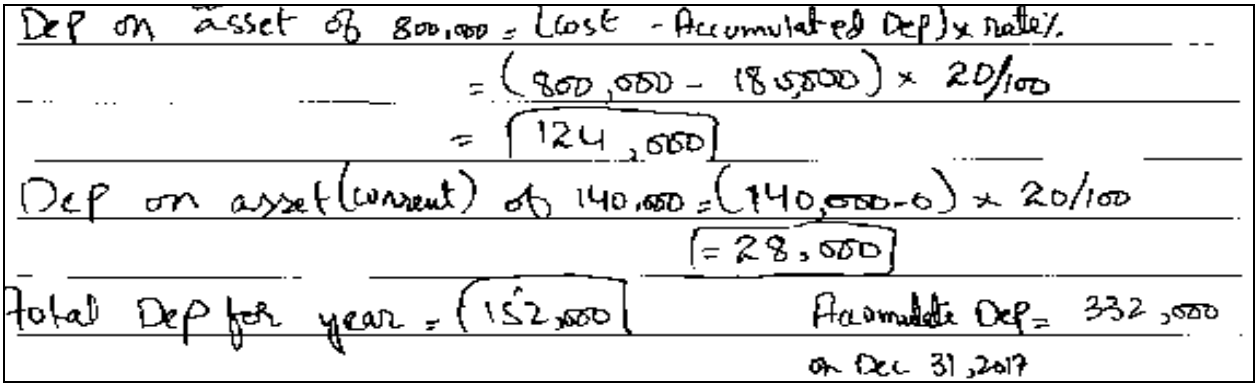
a. Calculate depreciation on non-current (fixed) assets for the year ended December 31, 2017.

b. Prepare the statement of affairs for Hafsa Sports Club
   - as at January 01, 2017.
   - as at December 31, 2017.

This question consisted of two parts. Part a was related to depreciation, whereas part b was related to the statement of affairs. *Better responses* showed that candidates have good understanding of both depreciation and statement of affairs. These responses calculated the correct amount of depreciation. Using the correct formula they also calculated the correct amount of accumulated funds by classified the items of statement of affairs appropriately.

Example:

a.



b.

HAFSA CLUB
Statement of Affairs
As on January 01, 2019

Dr.		Cr.	
Non Current Assets	800,000	Accumulated Dep	180,000
Current Assets	160,000	Current liabilities	20,000
		Long term liabilities	200,000
Bal	560,000		

HAFSA CLUB
Statement of Affairs
As at Dec 31, 2017

Dr.		Cr.	
Opening Bal	560,000	Accumulated Dep	332,000
Fixed Assets	940,000	Current liabilities	32,000
Current Assets	180,000	Non-current liabilities	400,000
		Owner's equity	916,000
	1,680,000		1680,000

Weaker responses reflected that the students were unable to calculate the correct amount of depreciation. These responses reflected that candidates prepared the income and expenditure account instead of the statement of affairs, which shows lack of understanding of the financial statement of a non-profit business. Few responses also reflected that the candidates lacked understanding of items of statement of affairs and their classification. These responses classified assets under equity section or current liability under current assets etc.

Example:

a.

find the ending Dec 31, 2017

180,000 x 20/100

Ending 31 Dec 2017: 36,000

b.

Expenditure		Income	
Less Subscription		Non current fixed	800,000
160,000 + 26,000 + 20,000		Accumulated Dep	180,000
	380,000	Surplus Deficit	60,0000
			380,000

Expenditure		Income	
Subscription	612,000	Non-Current	940,000
180,000 + 32,000 + 400,000		Accumulated Dep	36,000
		Surplus/ Deficit	369000
	612,000		612,000